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Threshold - Q1 2026

Quarterly review of tBTC, protocol fees, and T

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Key Takeaways

tBTC supply held; DeFi deployment increased in BTC terms: tBTC supply ended Q1 at 5.9K, unchanged QoQ (-0.03%) and +32% YoY, while DeFi TVL (BTC) rose +19% QoQ to 7K BTC, led by Aave supplied tBTC reaching ~2.1K (+24% QoQ).

Annualized fees declined -51% QoQ to \$712K: Q1 fee capture came only from redemptions and was further reduced by the Jan. 22 redemption fee waiver for T stakers. The Apr. 15 mint-fee activation broadens monetization from exit-only to entry-and-exit flows (20bps mint fee + 20bps redemption fee).

tBTC supply turnover is balanced: 2,099 tBTC minted and 2,101 burned, equal to 2.9x annualized total turnover. At 20 bps on both mint and redemption, the same turnover would imply ~34 BTC, or ~\$2.3M, in annualized revenue at quarter-end BTC price, versus \$712K in Q1.

The token repriced lower while tBTC's liquidity position improved: T fell -30% QoQ to ~\$67M FDV / market cap, with ~100% float and no unlock overhang. TVL-linked valuation improved, with DeFi TVL/FDV rising +13% QoQ to 7.4x, but fee-linked valuation worsened as P/F rose to 95x.

Relevant data guidelines: The report's data cut-off date is March 31st. Annualized = trailing 30-day run-rate (or specified in caption). Quarterly values are end-of-period unless explicitly labeled 'average' in the chart/table.

Refresher: What is Threshold Network?

Threshold issues tBTC, redeemable 1:1 for BTC (1:1 BTC-backed, redeemable for BTC, less applicable fees), using threshold ECDSA across a rotating 51-of-100 permissioned signer set. It moves BTC into DeFi without relying on a single centralized custodian, providing BTC liquidity across chains.

tBTC Fees

Action	Protocol Fee	Notes
Mint	0.20%	Reintroduced April 15th. Gasless minting on supported networks
Redemption	0.20%	Fee waivers for T stakers
Cross-chain	-	Depends on cross-chain provider (LayerZero, Chainlink, Mayan)

Data as of April 15th. Source: Alea, Threshold



Threshold's economics are flow-based. In Q1-26, protocol fees came only from the 20 bps redemption fee. The 20 bps mint fee was reactivated on Apr. 15, 2026, after quarter-end, expanding monetization from exit-only activity to both mint and redemption flows.

T is the governance and staking token. Stakers can receive tBTC redemption fee waivers, while protocol revenue funds the treasury and discretionary open-market T buybacks (it is not a fixed distribution policy).

Financials

Threshold exited Q1 with stronger BTC-denominated deployment than USD optics suggest, but weaker realized monetization. tBTC supply ended the quarter at 5.9K, flat QoQ and +32% YoY. DeFi TVL rose +19% QoQ in BTC terms to 7.0K BTC, led by Aave supplied tBTC reaching ~2.1K, up +24% QoQ. USD DeFi TVL fell -7% to \$481M because BTC declined -22% QoQ.

Fees moved in the opposite direction. Trailing-30-day annualized fees fell -51% QoQ to \$712K. BTC-denominated annualized revenue fell -38% QoQ to ~10 BTC, so the decline was not only price-driven. Q1 monetization remained redemption-only, and effective fee capture was reduced by the Jan. 22 redemption fee waiver for T stakers.



Financials

Metric	2024			2025				2026	YoY%
	Q2	Q3	Q4	Q1	Q2	Q3	Q4	Q1	
tBTC Supply	3.3K	3.7K +14%	4.6K +24%	4.5K -4%	5.2K +17%	6.3K +21%	5.9K -7%	5.9K -0%	+32%
DeFi TVL	\$117M	\$175M +49%	\$414M +137%	\$310M -25%	\$434M +40%	\$597M +38%	\$519M -13%	\$481M -7%	+55%
DeFi TVL (BTC)	1.9K	2.8K +48%	4.4K +60%	3.8K -15%	4.0K +8%	5.2K +29%	5.9K +13%	7.0K +19%	+87%
Fees (Annualized)		\$353K	\$2.9M +716%	\$1.4M -52%	\$1.0M -27%	\$1.1M +10%	\$1.4M +29%	\$712K -51%	-49%
Revenue (Annualized)		\$353K	\$2.9M +716%	\$1.4M -52%	\$1.0M -27%	\$1.1M +10%	\$1.4M +29%	\$712K -51%	-49%
Fees (BTC, Annualized)		5	29 +429%	16 -44%	10 -41%	10 +4%	16 +63%	10 -38%	-38%
Revenue (BTC, Annualized)		5	29 +429%	16 -44%	10 -41%	10 +4%	16 +63%	10 -38%	-38%
tBTC Supply Turnover (Total)	4.9x	3.6x -26%	6.5x +79%	5.2x -21%	5.2x +1%	2.0x -62%	3.0x +50%	2.9x -4%	-44%
DEX Volume (Annualized)*				\$1.2B	\$1.0B -13%	\$1.4B +39%	\$3.3B +136%	\$1.1B -67%	-7%

Annualized = 30-day avg x 365. Supply turnover = annualized trailing 90-day mint + burn flows/tBTC Supply. *DEX Volume: Curve, Aerodrome and Velodrome.
Data as of Mar 31, 2026. Source: Token Terminal, DefiLlama, CoinGecko, Dune (@threshold)

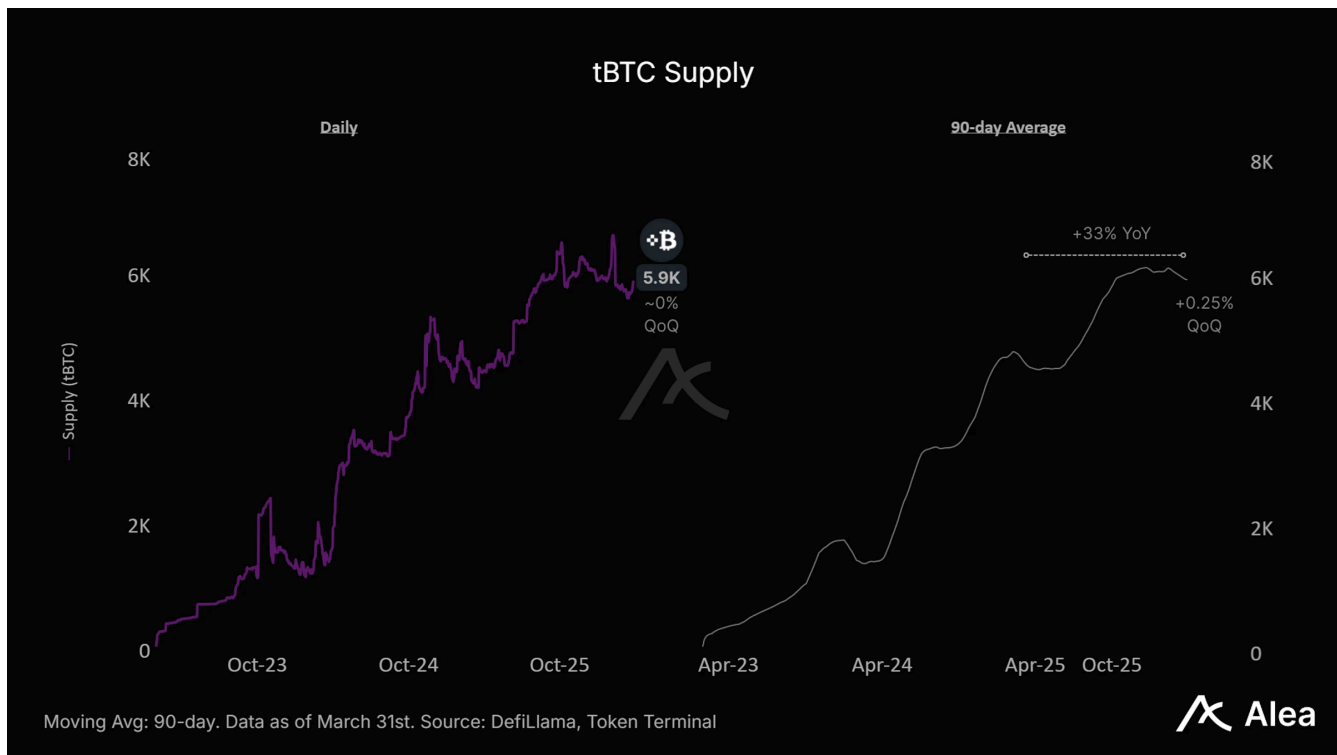


The key operating distinction is supply versus flow. tBTC supply can stay flat while fees fall if users hold and deploy tBTC instead of minting or redeeming. In Q1, trailing 90-day flows were balanced: 2,099 tBTC minted and 2,101 burned, equal to 2.9x annualized total turnover. That turnover becomes more valuable in Q2 after the Apr. 15 mint-fee activation.

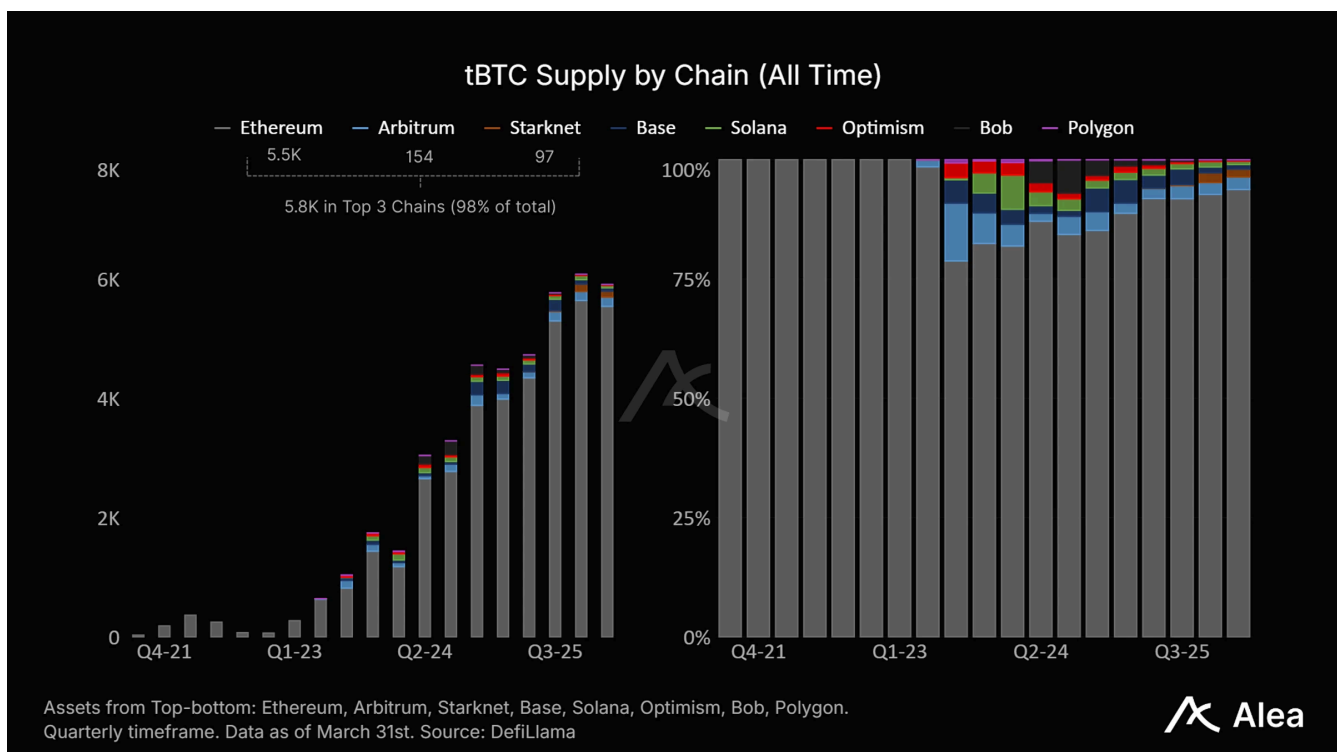
At Q1's 2.9x turnover, a 20 bps fee on both mint and redemption flows would imply ~34 BTC of annualized revenue, or ~\$2.3M at quarter-end BTC price. Reversion to the historical 5.24x turnover average would imply ~\$4.2M. Both scenarios assume no material flow elasticity and unchanged fee-waiver mix.

tBTC

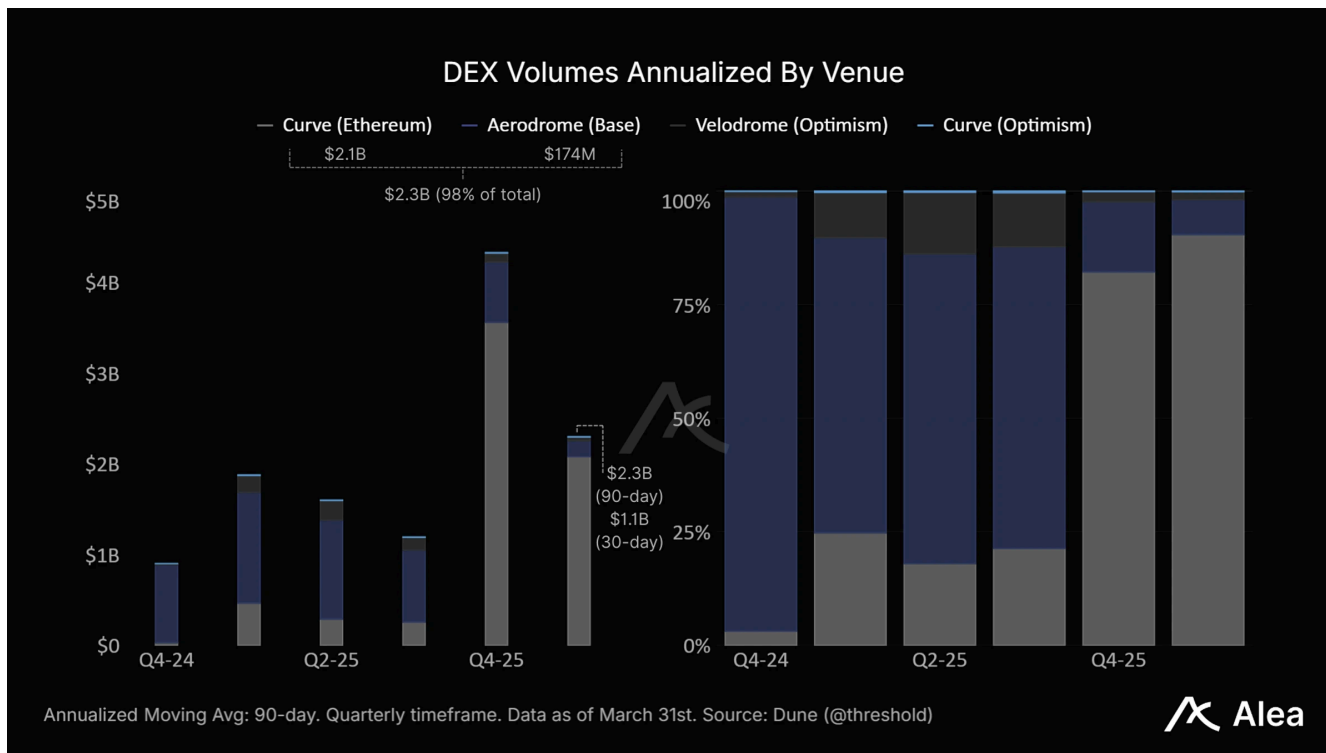
tBTC ended Q1-26 at 5.9K, flat QoQ and +32% YoY. Supply held through a -22% BTC drawdown, suggesting holders did not redeem back to native BTC in size despite BTC's price decline.



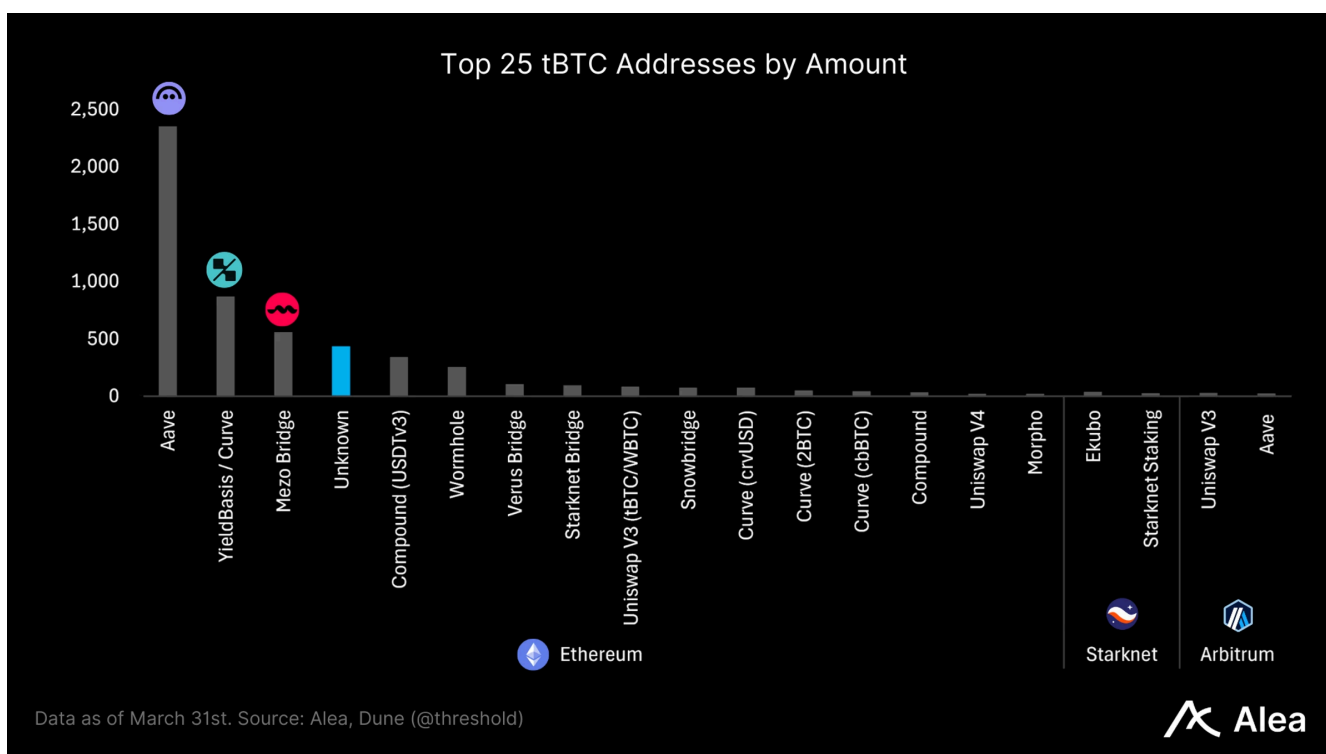
tBTC's chain expansion strategy began in H2 2023. As of Q1-26, supply remains concentrated on Ethereum L1 (94%), followed by Arbitrum (2.6%), Starknet (1.6%), and Base (~1%). The largest absolute gain YoY was Ethereum with +1.5K tBTC increase (+39%), followed by Arbitrum, with a +56 tBTC increase (+62%).



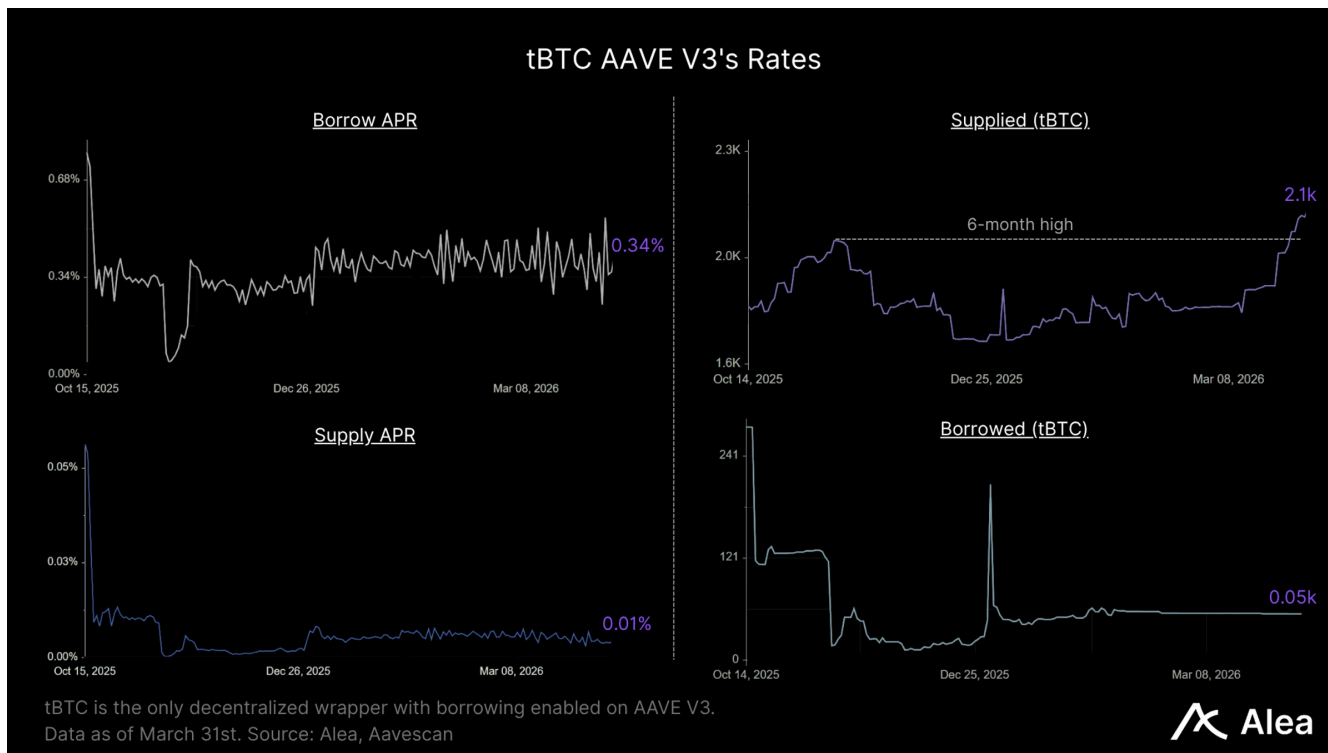
DEX activity weakened. Annualized tBTC DEX volume fell -67% QoQ in USD terms and -58% in BTC terms. Activity concentrated on Curve Ethereum, partly because YieldBasis volume is reported within Curve. This separates two Q1 realities: collateral deployment improved, while secondary-market turnover cooled.



tBTC is deployed across a range of protocols, with 26 of 55 (>\$10K) holding >\$1M of tBTC. Out of the top 25 addresses that hold tBTC across chains, 19 are identifiable protocols; the remaining six are unlabelled wallets.

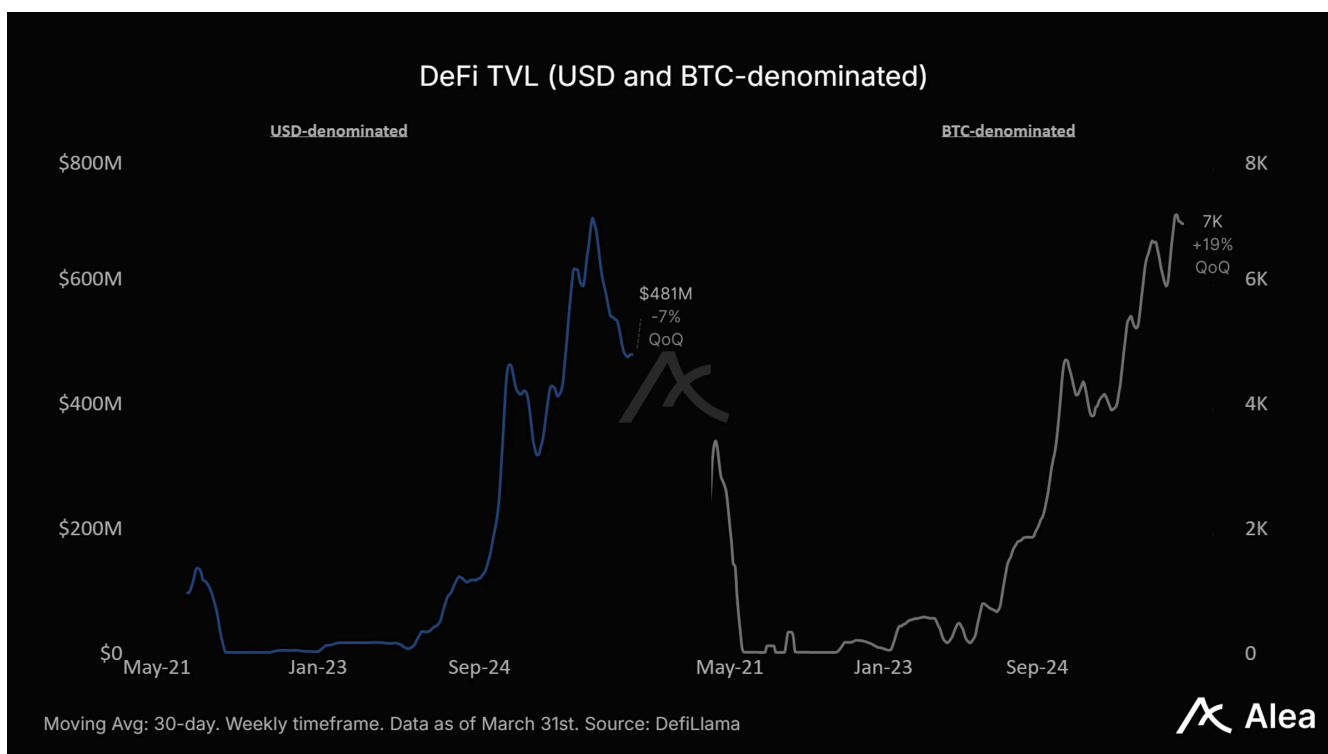


tBTC's Aave growth in Q1 was the largest contributor to DeFi TVL increase, reaching ~2.1K tBTC supplied as collateral by the end of the quarter (+24% QoQ). Most tBTC is used as collateral rather than borrowed, keeping supply APR near its historical average of ~0.01%.

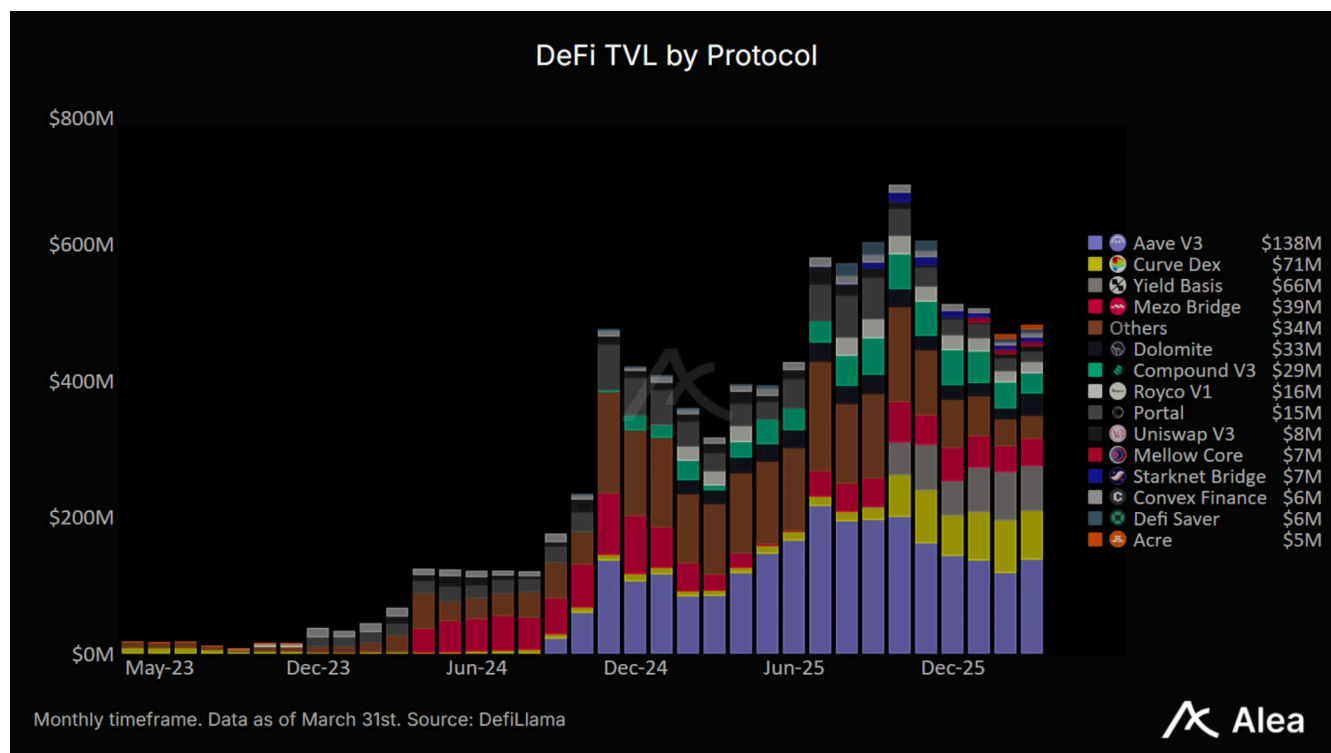


DeFi TVL

Threshold's DeFi TVL ended Q1 at \$481M, down -7% QoQ in USD terms but up +19% QoQ in BTC terms to 7.0K BTC. The USD decline was price-driven: BTC fell -22% QoQ, while BTC-denominated exposure increased enough to offset most of the drawdown. YoY, DeFi TVL rose +55% in USD and +87% in BTC, so the operating trend remained stronger than the dollar chart implies.



Growth is concentrated in a few high-utility venues. Aave V3 held \$138M, or 29% of DeFi TVL, and was the largest contributor to BTC-denominated growth. Curve held \$71M, while YieldBasis held \$66M. Together, Aave, Curve, and YieldBasis accounted for roughly 57% of Threshold's DeFi TVL.



Aave growth shows tBTC is gaining collateral utility; Curve and YieldBasis show tBTC has deeper swap and LP infrastructure. Neither directly creates Threshold fees unless it pulls new mint or redemption flow. Static TVL supports stickiness; turnover drives revenue.

The supply KPI to watch is integration depth—DeFi TVL and utilization on major venues—rather than raw integration count. Q2's question is whether Aave, Curve, and YieldBasis can keep absorbing tBTC after the Apr. 15 mint-fee activation, and whether that depth converts into new mint flow.

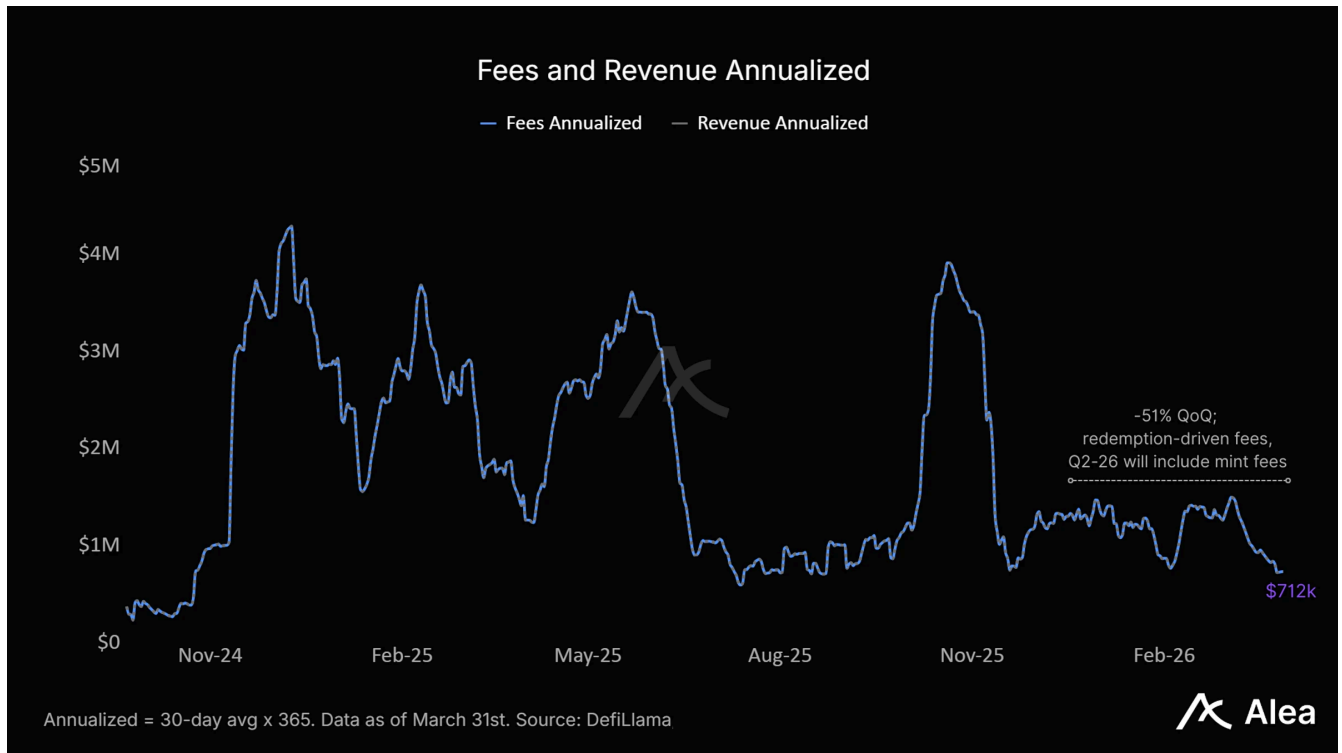
Fees and Protocol Revenue

Threshold earns on tBTC mint/redeem flows, not static tBTC supply. In Q1, the mint fee was inactive, so protocol revenue depended entirely on redemptions.

Metric [definitions](#):

- Fees: sourced from tBTC's 0.2% redemption fee. Minting fees were reactivated in Apr. 15th, hence are not reflected in Q1-26 figures.
- Protocol Revenue: fees allocated to T buybacks and the treasury.

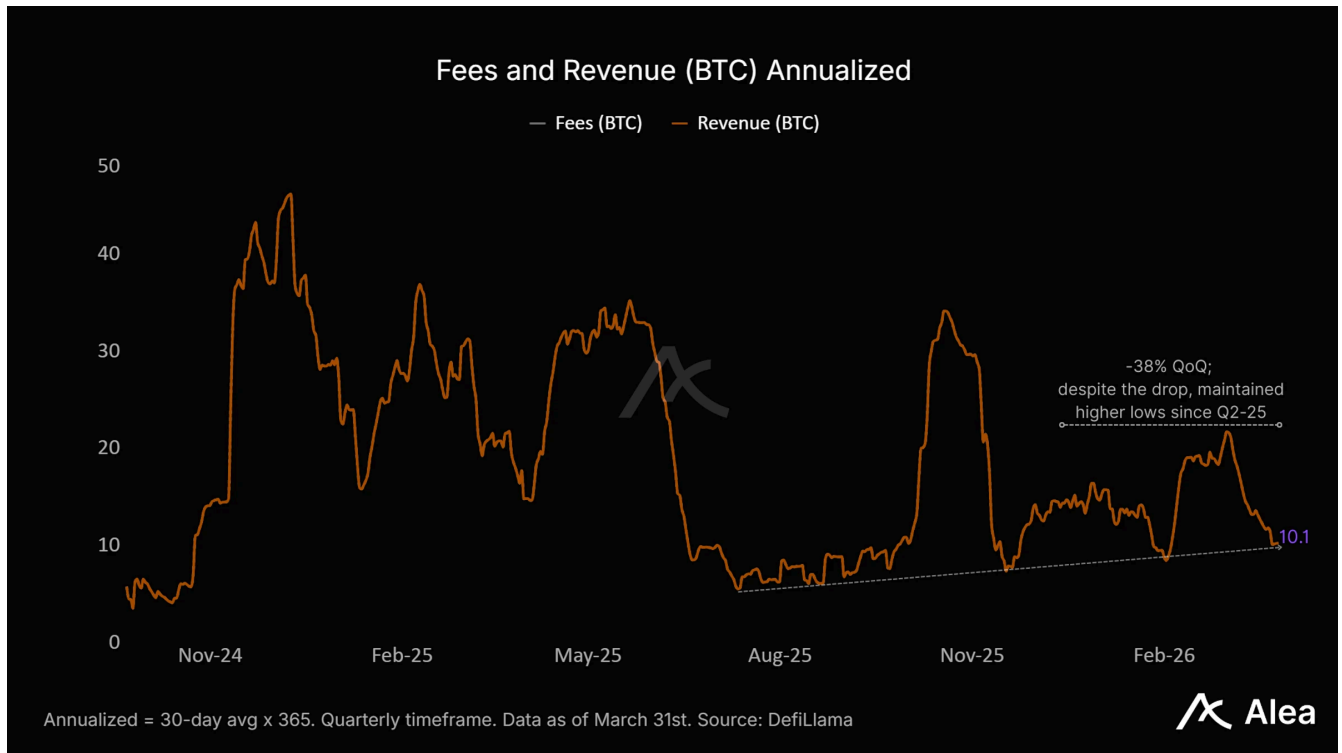
Annualized fees and revenue closed Q1 at \$712K (-51% QoQ, -49% YoY). Fees and revenue have been tracked on DefiLlama since Oct-2024 (Q4-24) but have accrued since inception. BTC-denominated annualized revenue fell to roughly 10 BTC, down -38% QoQ. The decline was therefore not just price-driven.



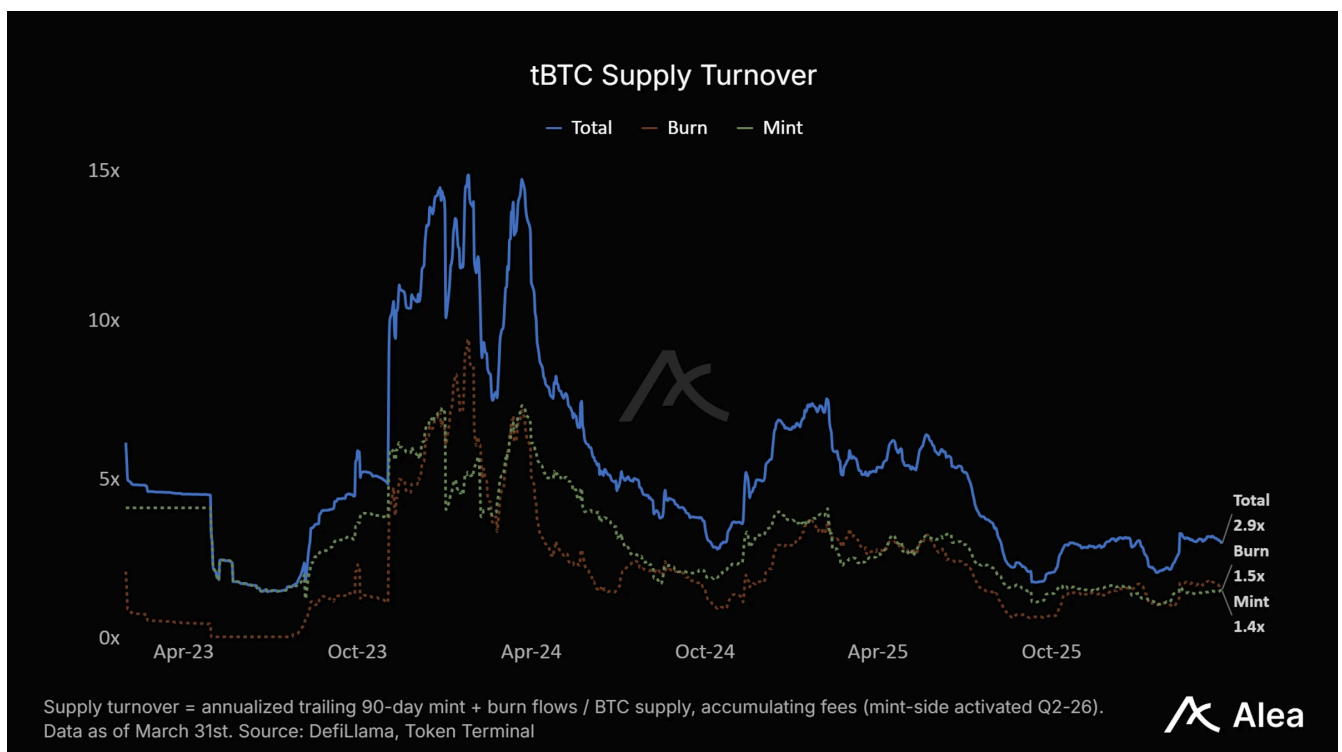
The Jan. 22 launch of redemption fee [waivers](#) for T stakers reduced effective take rate. That is good token utility, but it creates a revenue trade-off. Active bridge users can lower their fees by staking T, while the protocol captures less revenue per redemption.

Although revenue is denominated in tBTC at redemption, because it is activity-dependent, BTC-denominated revenue volatility mirrors USD-denominated volatility; Q1-26 annualizes to ~10 BTC (~38% since Q4-25).

To date, the DAO has conducted ~30M T tokens buybacks following the buyback proposal approval in Q2-25, with frequency dependent on operational costs rather than a fixed % of fees/revenue.



Over the trailing 90-day window, users minted 2,099 tBTC and burned 2,101 tBTC, equal to 2.9x annualized total turnover. Mint turnover was 1.4x and burn turnover was 1.5x. This is the key fee base. A flat supply quarter can still generate revenue if mint and burn activity stays high.

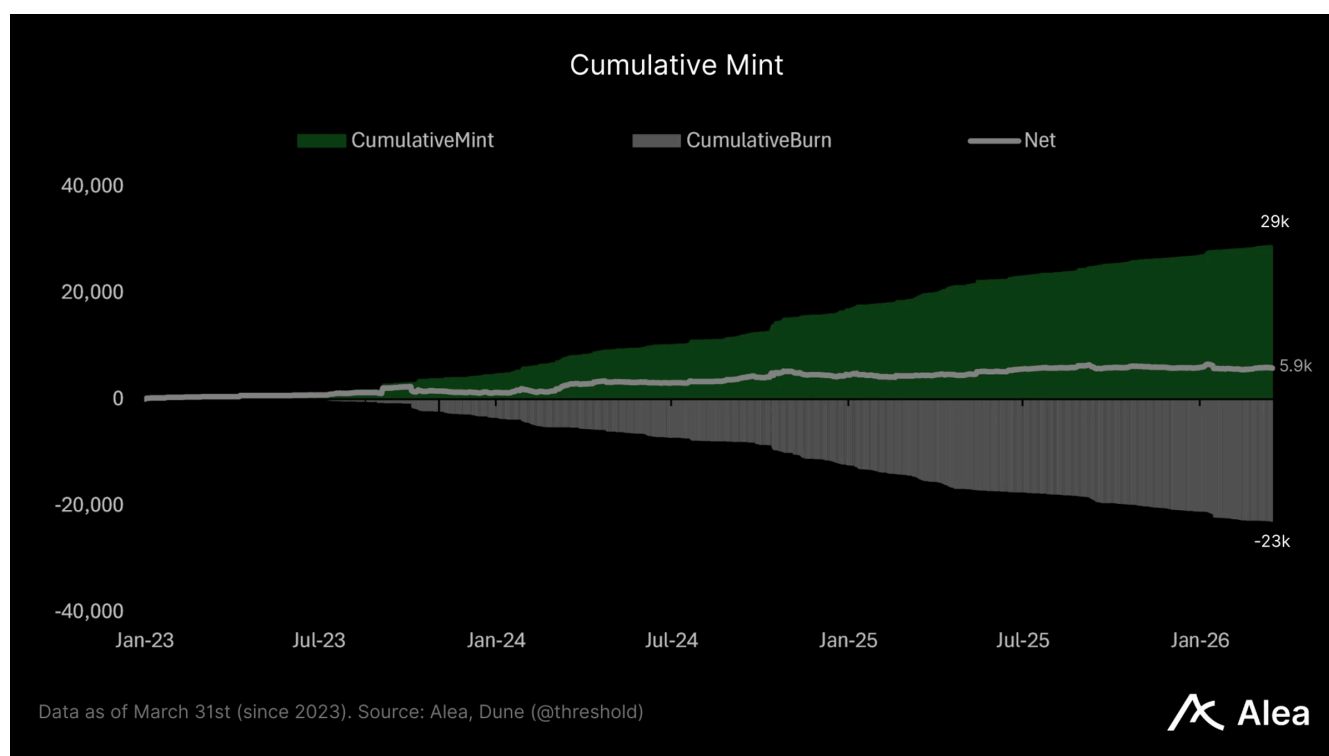


The Apr. 15 mint-fee activation changes the revenue setup for Q2. Monetization shifts from redemption-only to two-sided flow capture. At Q1's 2.9x annualized turnover, a 20 bps fee on both mint and redemption flows would imply roughly 34 BTC of annualized revenue, or ~\$2.3M at quarter-end BTC price of \$68.2K.

Reversion to the historical 5.24x turnover average would imply roughly ~\$4.2M (+489% from current levels).

Since 2023, aggregate tBTC flows have totaled roughly 29K minted and 23K burned, producing the current ~5.9K supply base. That confirms the business is flow-driven. The October 2025 liquidity crunch with 866 tBTC minted vs 1,248 burned for the month showed the model's countercyclical nature: the protocol can earn fees during redemption-heavy periods even when supply falls. Persistent net burns, however, would reduce future supply and weaken the long-term fee base.

Unlike TVL-linked business models, Threshold can monetize periods of elevated redemption activity even when net supply falls. The sustainability metrics are: two-sided mint/burn turnover, net tBTC supply growth, effective fee capture after waivers, and DeFi TVL stickiness.



Q2 is the monetization test. The mint fee can lift revenue materially if turnover holds. But the upside depends on flow elasticity and fee-waiver mix. T captures the benefit indirectly through staking utility, treasury accrual, and discretionary buybacks.

Market Data

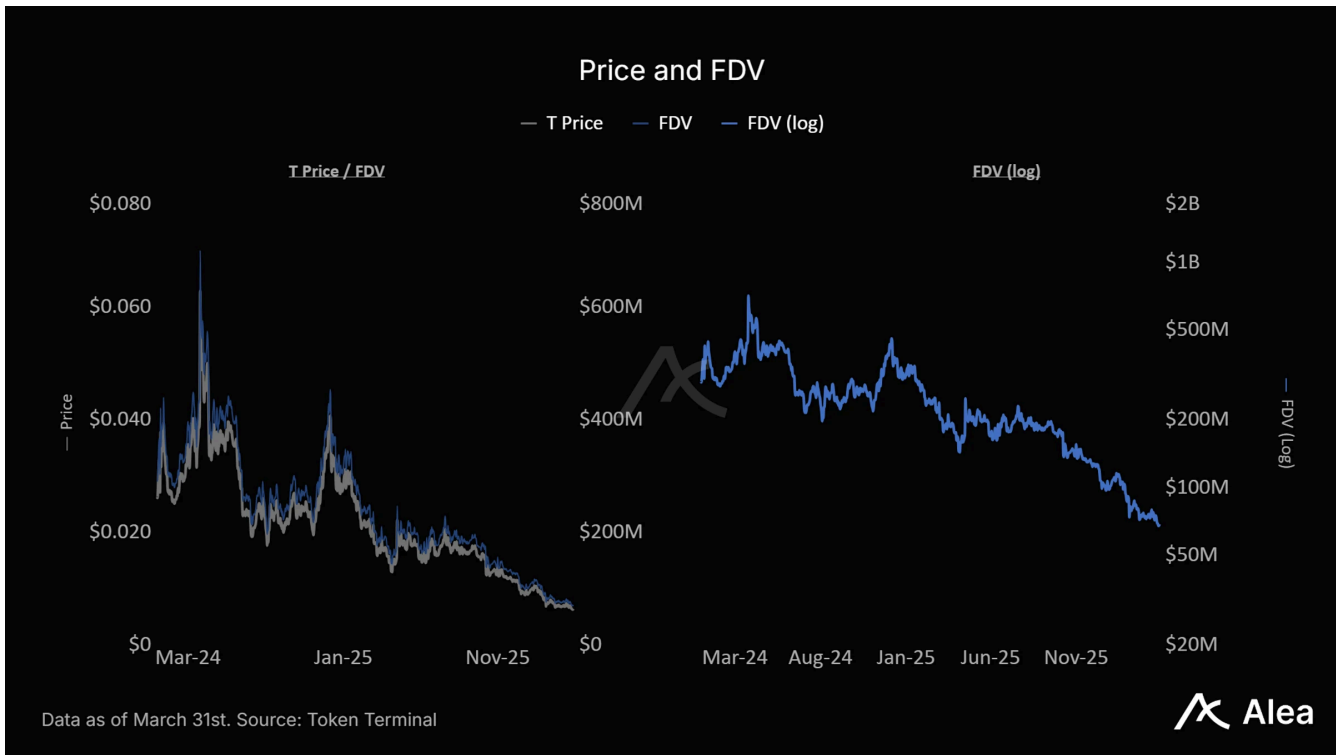
T's TGE occurred on January 1, 2022. T is trading near all-time lows: \$0.006 at \$67M FDV and market cap (-30% QoQ, fully diluted, no unlocks), \$5M average daily volume (-12% QoQ) and a 0.0047% FDV multiple to BTC's (-10% QoQ).

 Market Data									
Metric	2024			2025				2026	YoY%
	Q2	Q3	Q4	Q1	Q2	Q3	Q4	Q1	
Price	\$0.0234	\$0.0245	\$0.0269	\$0.0153	\$0.0170	\$0.0147	\$0.0086	\$0.0060	-60%
		+5%	+10%	-43%	+11%	-13%	-42%	-30%	
Market Cap	\$227M	\$241M	\$270M	\$155M	\$171M	\$149M	\$96M	\$67M	-56%
		+6%	+12%	-43%	+11%	-13%	-36%	-30%	
FDV	\$261M	\$274M	\$300M	\$170M	\$189M	\$164M	\$96M	\$67M	-60%
		+5%	+10%	-43%	+11%	-13%	-42%	-30%	
Daily Token Volume	\$27M	\$14M	\$36M	\$18M	\$20M	\$15M	\$6M	\$5.0M	-73%
		-48%	+154%	-50%	+13%	-29%	-61%	-12%	
T FDV / BTC FDV	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	-52%
		+4%	-26%	-36%	-14%	-18%	-24%	-10%	
Token Turnover (MCap)	4.1%	7.5%	13.2%	6.7%	13.6%	5.6%	4.6%	5.3%	-21%
		+80%	+77%	-49%	+104%	-59%	-18%	+16%	
Colored % = QoQ change. Data as of Mar 31, 2026. Source: Token Terminal									
									

T’s underperformance and rising correlation to BTC weighed on valuation while realized fees fell.

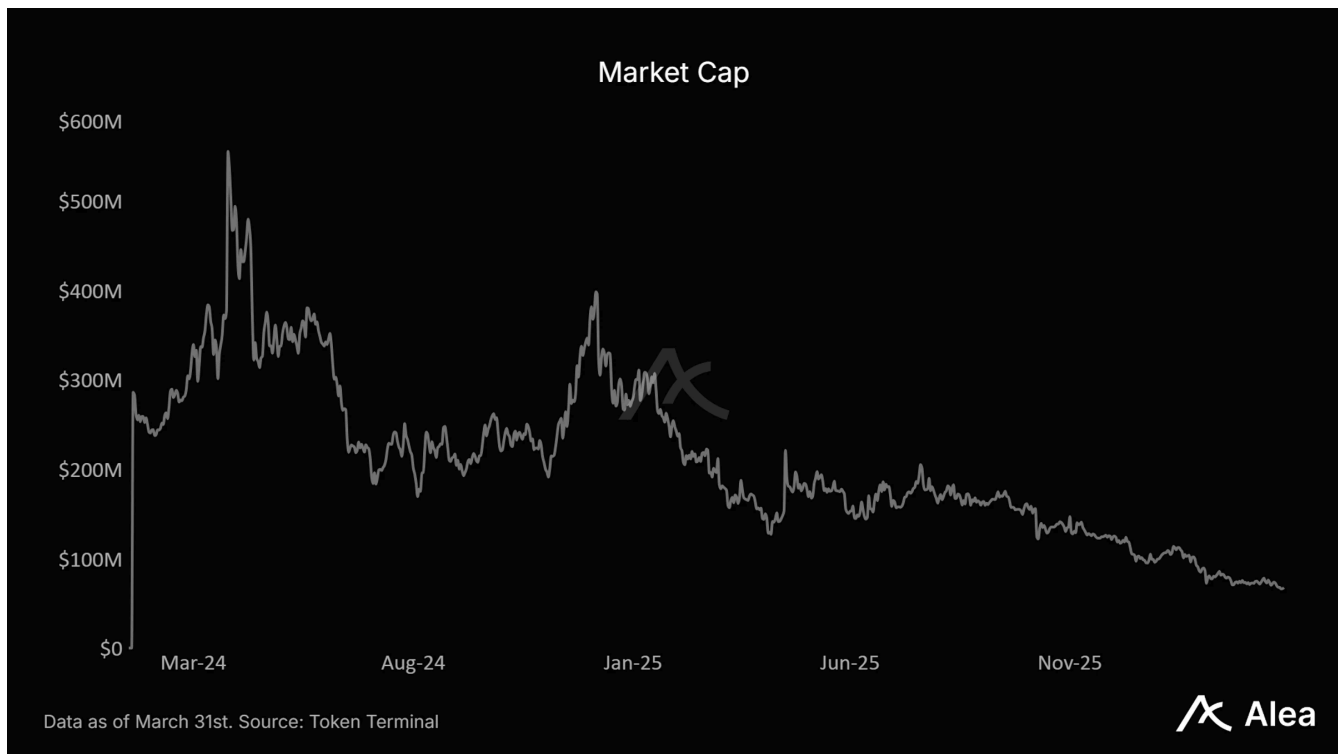
Price

T ended Q1 down -30% QoQ and -10% QoQ in BTC terms. BTC declined -22% QoQ, whilst finding support at the previous-cycle all-time-high range of ~\$70K.



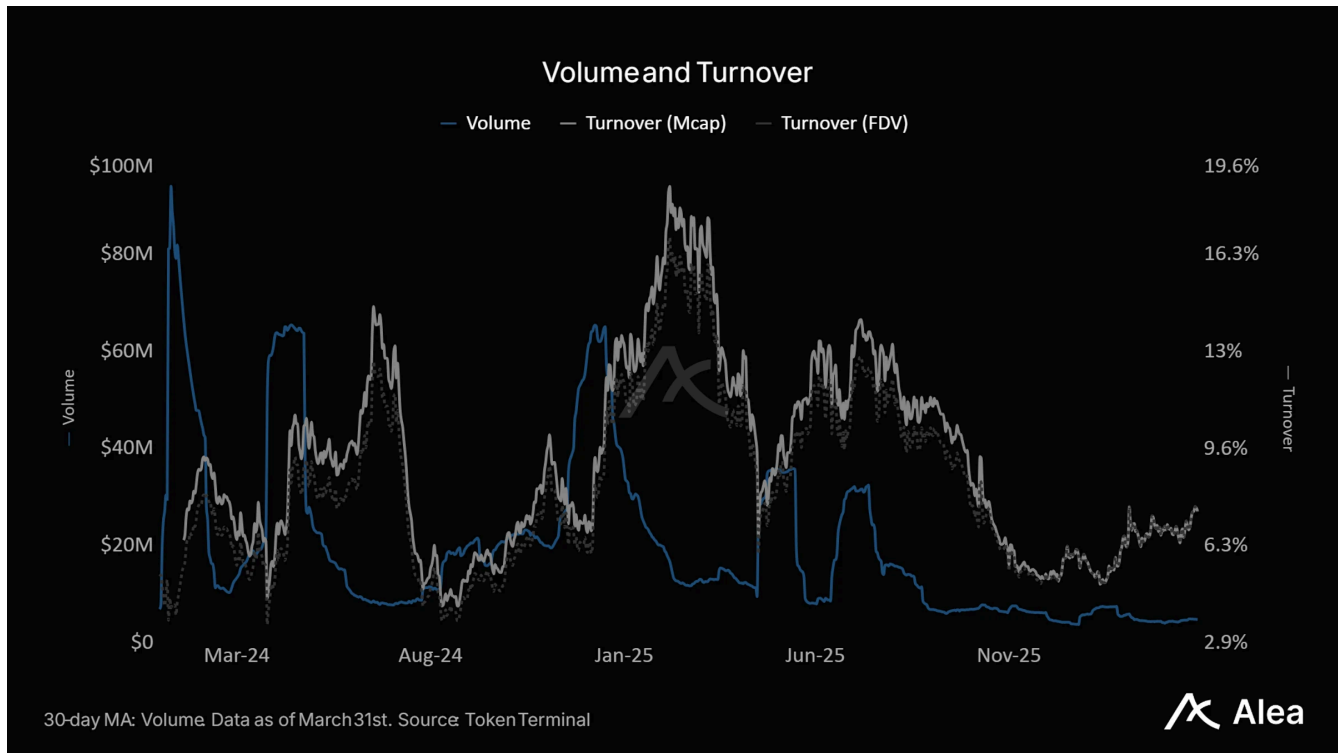
Market Cap

T's market cap was down -30%, marking the lowest point ever since losing the all-time highs of Q4-25 on October 10th.



Token Volume and Turnover

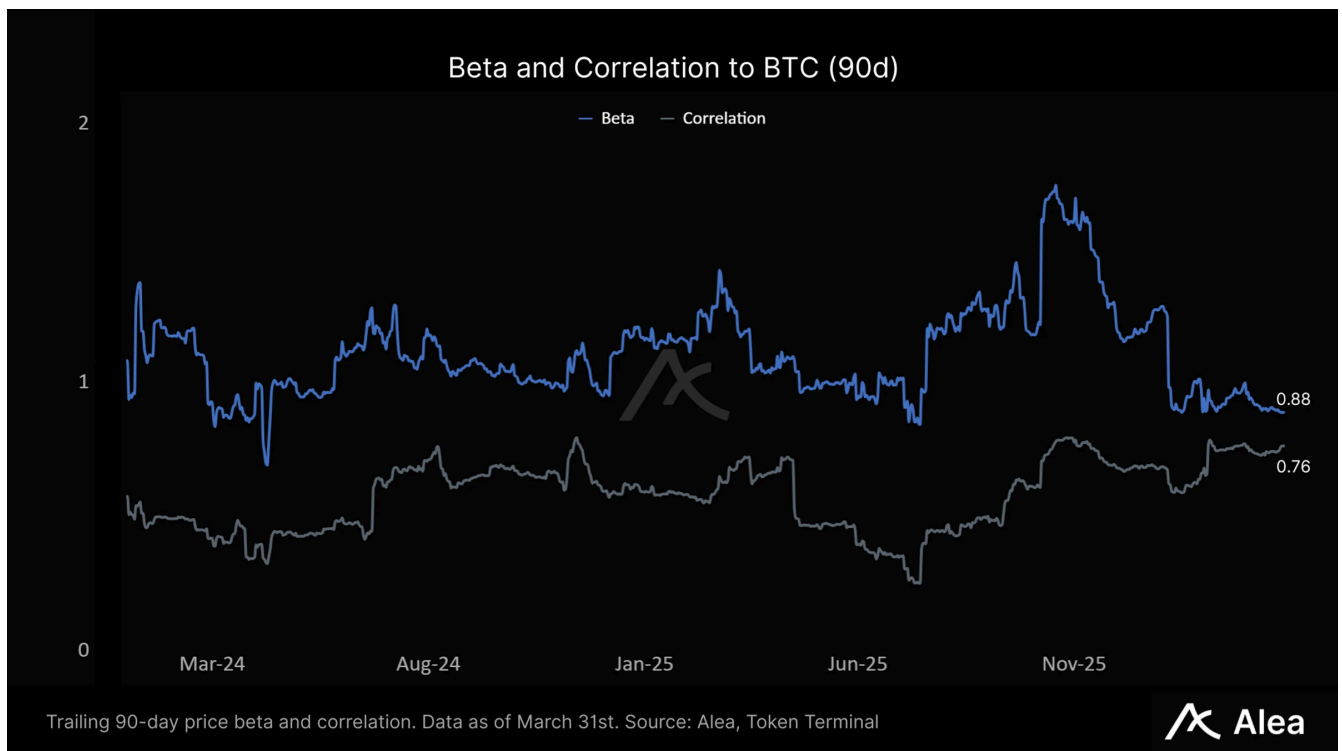
Daily token volume averaged \$5M, down -12% QoQ, while market-cap turnover (which measures the share of a token's valuation that trades daily, computed as the 30-day average trading volume divided by either market cap or FDV) rose to 5.3% from 4.6%. Market cap fell faster than volume, which helps position sizing, but it should not be framed as stronger USD liquidity. USD liquidity declined; it simply held up better than price.



Record 30-day trailing turnover (Mcap) sits at 20%(set on April 25th, 2025), coinciding with the [press release](#) related to T token buybacks.

Correlation and Beta to BTC

T's BTC linkage became more directional but less convex. The 90-day correlation to BTC rose to 0.76 from 0.67, while beta fell to 0.88, down -30% QoQ.



T tracked BTC more closely but with lower sensitivity to BTC moves. For allocators, that is a worse risk profile if the token drifts lower while BTC stabilizes.

Multiples

T's valuation can be assessed against its KPIs to determine whether the token is cheap or expensive relative to fundamentals. At the end of Q1-26, T traded cheaper QoQ on tBTC supply and TVL-linked multiples, but more expensive on fee-linked multiples.

 Multiples										
Metric	2024				2025				2026	YoY%
	Q1	Q2	Q3	Q4	Q1	Q2	Q3	Q4	Q1	
MCap / FDV (Float%)	86%	87%	88%	90%	91%	91%	91%	100%	100%	+10%
		+1%	+1%	+2%	+1%	-0%	+0%	+10%	-0%	
tBTC Supply / MCap	0.2	0.9	1.0	1.6	2.4	3.3	4.8	5.4	6.0	+151%
		+286%	+8%	+64%	+48%	+37%	+48%	+11%	+11%	
DeFi TVL / FDV	0.1	0.4	0.5	1.1	2.3	2.1	3.5	6.5	7.4	+228%
		+495%	+14%	+148%	+101%	-7%	+67%	+88%	+13%	
DeFi TVL / MCap	0.1	0.5	0.7	1.5	2.0	2.5	4.0	5.4	7.1	+255%
		+297%	+41%	+111%	+31%	+26%	+58%	+35%	+32%	
P/F (MCap)			683	94	111	168	133	66	95	-15%
				-86%	+19%	+51%	-21%	-50%	+43%	
P/F (FDV)			775	104	122	186	146	66	95	-23%
				-87%	+18%	+52%	-21%	-55%	+43%	
P/S (Protocol Revenue, MCap)			683	94	111	168	133	66	95	-15%
				-86%	+19%	+51%	-21%	-50%	+43%	
P/S (Protocol Revenue, FDV)			775	104	122	186	146	66	95	-23%
				-87%	+18%	+52%	-21%	-55%	+43%	

Colored % = QoQ change. Annualized = 30-day avg x 365.
Data as of Mar 31, 2026. Source: Token Terminal, DefiLlama, CoinGecko, Dune (@threshold)



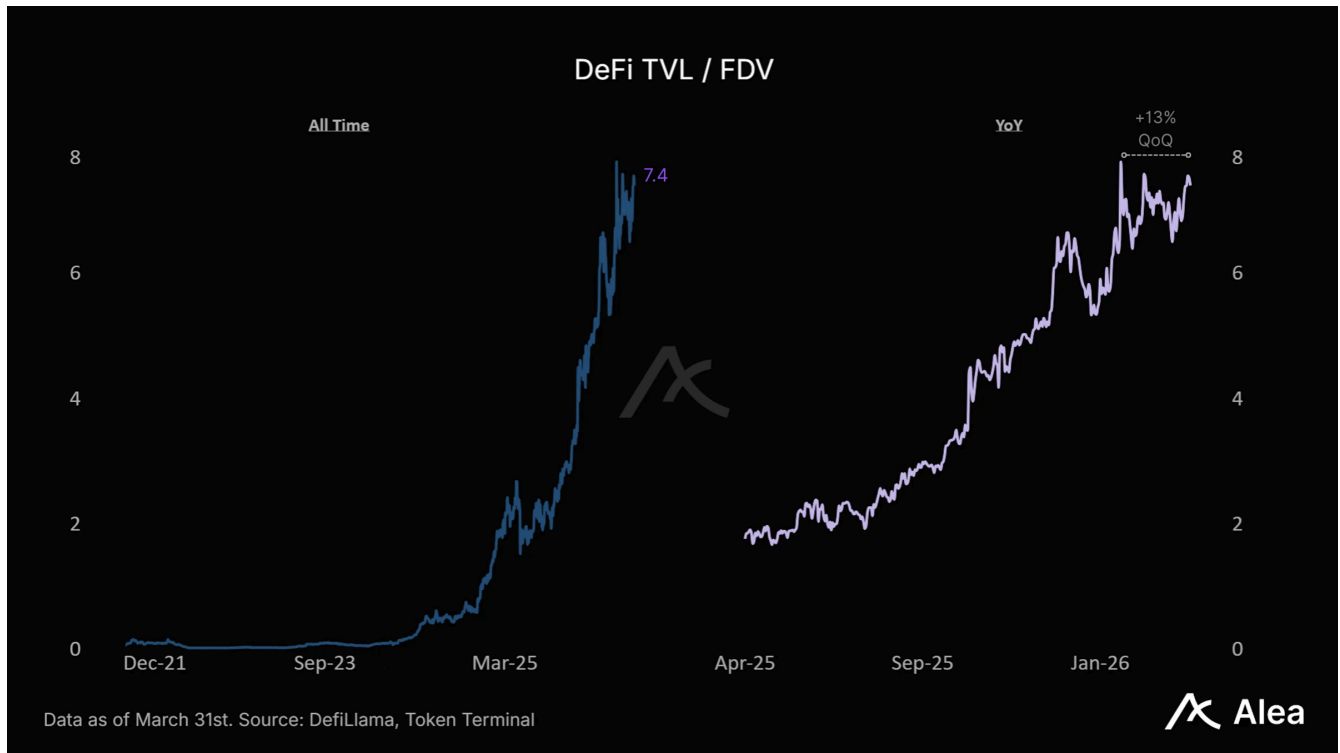
Multiple logic:

- Higher DeFi TVL/FDV and tBTC Supply/Mcap indicates more TVL and supply per dollar of FDV, implying cheaper valuation.
- Lower P/F and P/S imply a cheaper valuation.

The valuation picture split. T looked cheaper on collateral-linked metrics: DeFi TVL/FDV rose to 7.4x, and tBTC supply value / market cap rose to 6.0x. It looked more expensive on fee-linked metrics: P/F rose to 95x as annualized fees fell to \$712K. The market is pricing deeper tBTC liquidity, but not yet durable fee conversion.

DeFi TVL/FDV

DeFi TVL/FDV was up from 6.5 to 7.4 (+13% QoQ, +228% YoY) as FDV compressed faster than DeFi TVL (USD-denominated -7% QoQ, BTC-denominated +19%).

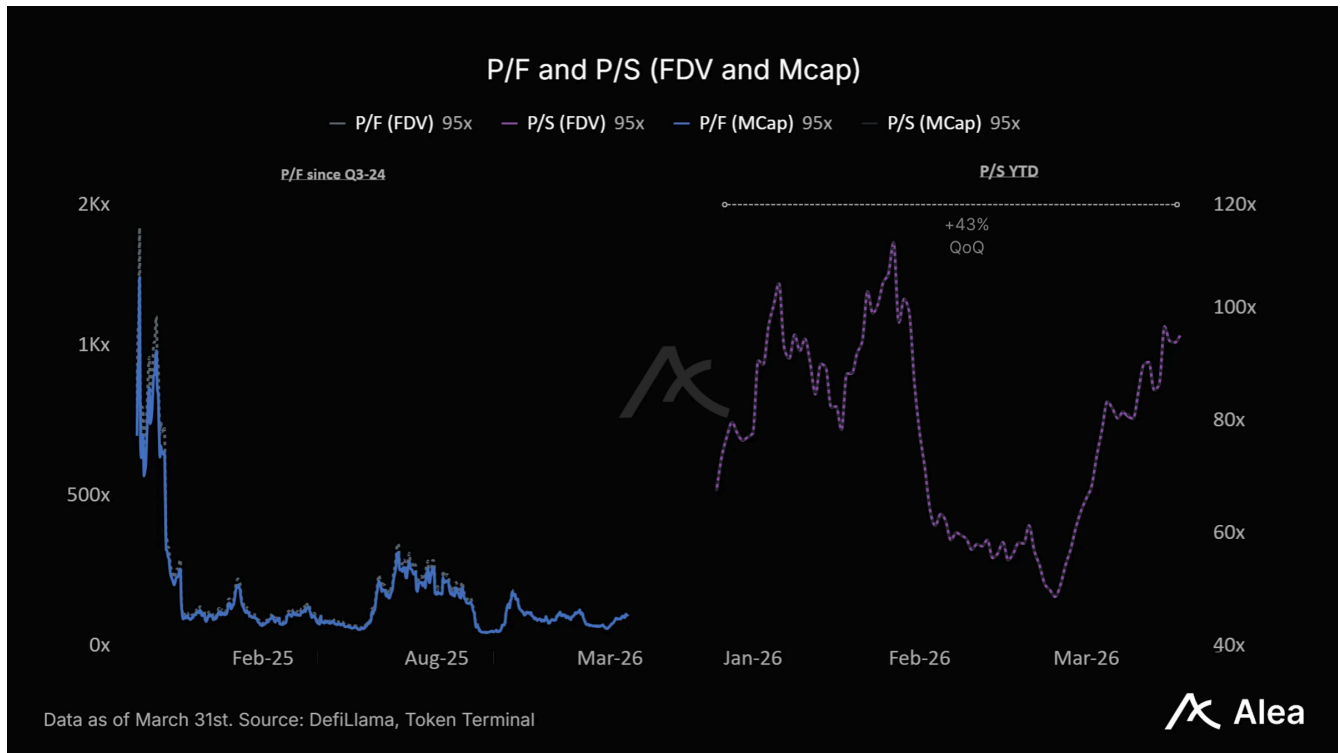


Because DeFi TVL is fundamentally tBTC-denominated, the multiple also is a proxy for BTC/T (strength QoQ), adjusted for tBTC DeFi flows (double digit BTC-denominated quarterly growth since Q3-25).

P/F and P/S (FDV)

Relative to fees and revenue, higher multiples (+43% QoQ) reflect lower fee generation driven by reduced redemption turnover and the Jan. 22 launch of fee waivers for T stakers, which lowered effective fee capture.

The Apr. 15 mint fee activation sits outside Q1 and shifts monetization to both entry and exit flows (0.2% each), increasing the correlation between protocol growth (mint activity) and fee generation. Impact is reflected from Q2 onward.



At current levels, FDV-based P/Fees is at 95x, reflecting \$712K in annualized fees against a \$67M FDV. Fees and revenue multiples expanded QoQ, but are still compressed YoY:

- P/F (Mcap), quarter-by-quarter: 168 → 133 → 66 → 95 (-15% YoY).
- P/S (FDV), quarter-by-quarter: 186 → 146 → 66 → 95 (-23% YoY).

Post-quarter monetization can change that multiple. At unchanged \$67M FDV, the Q1 two-sided fee scenario of ~\$2.3M annualized revenue would imply roughly 29x P/F. Reversion to historical average turnover would imply roughly 16x P/F on ~\$4.2M of annualized revenue. These scenarios assume turnover holds and fee waivers or flow elasticity do not offset the Apr. 15 mint-fee activation.

Comps

BTC wrappers compete on two axes: trust model and usable liquidity. WBTC, cbBTC, and BTCB set the liquidity ceiling, but they rely on centralized or exchange custody. tBTC, SolvBTC, ckBTC, Lombard, and uBTC compete for users who want lower single-custodian risk, but still need deep venues, borrow access, and reliable redemption.

Features Comp Table (vs Top Centralized Wrappers)

Feature	tBTC 	WBTC 	cbBTC 	BTCB 
Issuer / Controller	Threshold DAO (distributed signers)	BitGo + merchant set	Coinbase	Binance
Custody Model	Threshold signatures, 51-of-100 signers	Centralized institutional custodian	Centralized exchange custodian	Centralized exchange custodian
Mint / Redeem Access	Permissionless smart contracts	Permissioned via merchants	Permissioned via Coinbase	Permissioned via Binance
Chain Origin	BTC locked on Bitcoin	BTC locked with BitGo	BTC held by Coinbase	BTC held by Binance
Trust Assumption	Honest majority of signers	Solvency and integrity of BitGo/merchants	Solvency and integrity of Coinbase	Solvency and integrity of Binance
Key Management	No full key ever assembled; key shares across signers	Single custodian key infrastructure	Single custodian key infrastructure	Single custodian key infrastructure
Redemption Path	Onchain redemption - BTC release via signers	Offchain redemption via merchants	Offchain redemption via Coinbase	Offchain redemption via Binance
Censorship Resistance	Higher: distributed signers, onchain logic	Lower: issuer can freeze / deny	Lower: issuer can freeze / deny	Lower: issuer can freeze / deny
Bitcoin Alignment	High (Trust-minimized, open)	Low (Trust-based, closed)	Low (Trust-based, closed)	Low (Trust-based, closed)

Data as of March 31st. Source: Alea (Blueprint Report), Threshold, BitGo, Coinbase, Binance



tBTC leads the decentralized wrapper set on liquidity quality (leading 6 of 8 liquidity depth metrics), with \$481M of DeFi TVL and 26 integrations above \$1M by the end of Q1. That makes tBTC the strongest decentralized BTC wrapper by breadth and DeFi depth.

Against centralized wrappers, however, tBTC remains subscale. WBTC and cbBTC still dominate absolute supply, daily volume, Aave scale, and top-pool depth.

Liquidity Comps Table: tBTC Leads on 6/8 Metrics

				Supply Metrics				DeFi Liquidity					
Wrapped BTC Issuer	Token Ticker	Token Category	Blockchains Deployed	Supply (BTC)	Supply (\$)	Token Volume	Supply Turnover	DeFi TVL	Integration Count (>\$1m)	Top DeFi Integration %	Top 3 Pools TVL (DEX)	Top Pool (DEX) +/- 2% Depth	
	Threshold	tBTC	Decentralized	38	5879	\$391M	\$7M	1.9%	\$481M	26	29%	\$24M	\$487k
	Solv	solvBTC	Decentralized	38	6508	\$436M	\$674k	0.15%	\$493M	11	46%	\$11M	\$102k
	ICP	ckBTC	Decentralized	1	297	\$20M	\$17k	0.08%			\$4M	\$74k	
	Lorenzo	enzoBTC	CeDeFi	2	4282	\$285M					\$5M	\$0.05k	
	BitGo	wBTC	Centralized	154	119137	\$7.9B	\$205M	2.58%	\$6.5B	114	45%	\$83M	\$3.8M
	Coinbase	cbBTC	Centralized	18	88828	\$5.9B	\$363M	6.14%	\$5.1B	42	51%	\$135M	\$63.1M
	Unit	uBTC	Chain Bridge	6	3272	\$218M	\$48M	22.18%	\$53M	10	30%	\$3.6M	\$1.9M
	Lombard	BTC.B	Chain Bridge	17	3306	\$220M	\$19M	8.74%	\$232M	14	66%	\$4.1M	\$79k

tBTC as the leading ticker in "x" metric (decentralized category only). Excluded: Blockchains, Supply (USD).

Token Volume (30d average), Data as of March 31st. Source: Alea, DefiLlama, Coingecko, Token Terminal



Among BTC APY pools with >\$100K TVL, tBTC appears in three of the top 10 by APY, including the top two. By average TVL, Threshold's largest APY venue is Hydration on Polkadot at 7.3% APY and ~\$4M TVL.

BTC APY Pool Comps

Top 10 (>\$100k TVL)						Top 10 (>\$1M TVL)					
Pool	Protocol	Chain	Avg TVL	Total APY	Incentives %	Pool	Protocol	Chain	Avg TVL	Total APY	Incentives %
•B TBTC-WBTC	Velodrome V3	OP Mainnet	\$132k	20%	100%	WBTC	Fraxlend	Ethereum	\$1.8M	17.6%	
•B TBTC-WBTC	Bluefin Spot	Sui	\$357k	18%	90%	IBTC	Indigo	Cardano	\$2.0M	15.4%	100%
LBTC-WBTC	Bluefin Spot	Sui	\$157k	18%	77%	CBBTC-LBTC	Aerodrome	Base	\$4.2M	13.7%	99%
WBTC	Fraxlend	Ethereum	\$1.8M	18%		CBBTC	YO Protocol	Base	\$8.6M	9.9%	85%
IBTC	Indigo	Cardano	\$2.0M	15%	100%	KODIWBTC-WETH	BeraPaw	Berachain	\$4.0M	9.5%	100%
WBTC-CBBTC	KyberSwap	Arbitrum	\$223k	15%	35%	•B TBTC	Hydration DEX	Polkadot	\$3.9M	7.3%	89%
XBTC-WBTC	Bluefin Spot	Sui	\$958k	15%	79%	T9CBBTC	Lagoon	Ethereum	\$14.2M	7.3%	
WBTC-LBTC	Uniswap V3	Ethereum	\$209k	15%		WBTC-CBBTC-HEMIIBC	Stake DAO	Ethereum	\$8.4M	7.1%	96%
CBBTC-LBTC	Aerodrome	Base	\$4.2M	14%	99%	CBBTC-WBTC	Orca DEX	Solana	\$1.1M	6.4%	
•B TBTC-TBTC	GMX V2 Perps	Arbitrum	\$679k	13%		WBTC-CBBTC-HEMIIBC	Curve DEX	Ethereum	\$9.2M	6.2%	95%

Trailing 90-day APY average, some pools do not have full history. Incentives % = % of total APY
Data as of March 31st. Source: Alea, DeFiLlama



Aave is tBTC's clearest institutional DeFi proof point. Supplied tBTC reached ~2.1K, with borrow functionality enabled and 2.3% utilization. Utilization trails WBTC at 6.3% and cbBTC at 3.5%, but tBTC is the only decentralized BTC wrapper with borrowing enabled on Aave V3.

Aave BTC Markets: Ethereum (V3)

Issuer	Token Ticker	Type Category	Supplied	Supplied (\$)	Supply APY	Borrow	Borrowed	Borrowed (\$)	Borrow APY	Utilization
BitGo	WBTC	Centralized	34,480	\$2B	<0.01%	☑	2,170.0	\$148M	0.45%	6.3%
Coinbase	cbBTC	Centralized	13,840	\$944M	<0.01%	☑	484.0	\$33M	0.43%	3.5%
Lombard	LBTC	CeDeFi	2,370	\$162M	<0.01%	☐				
Threshold	tBTC	Decentralized	2,140	\$146M	<0.01%	☑	49.0	\$3M	0.36%	2.3%
Ether.fi	eBTC	CeDeFi	127	\$9M	<0.01%	☐				
Function	FBTC	CeDeFi	349	\$24M	<0.01%	☑	1.0	\$68k	0.53%	0.3%
Total			53,306				2704			

FunctionBTC and Lombard (and Ether.fi's eBTC) rely on a custodian set / security council.
Data as of March 31st. Source: Alea, Aave



On YieldBasis, tBTC nearly matches WBTC in pool depth (~\$84M vs \$85M, a 1.4% difference, down from 4% last quarter), making it the third-largest BTC wrapper pool. This shows tBTC can compete with the largest custodial wrapper when a venue integrates it deeply.

Curve BTC Pools: tBTC Leads Decentralized Depth

	Issuer	Pool (assets)	Base vAPY	Pool Turnover	TVL (\$)
YieldBasis	Coinbase / Curve	crvUSD / cbBTC	7.40%	2.23%	\$167.4M
	BitGo / Curve	crvUSD / WBTC	7.50%	2.72%	\$85.0M
	Threshold / Curve	crvUSD / tBTC	0.30%	2.81%	\$83.8M
	Bedrock / BitGo	WBTC / uniBTC	0.00%	0.01%	\$10.1M
	Threshold / BitGo	WBTC / tBTC	0.19%	20.72%	\$9.9M
Curve	Hemi / Coinbase / BitGo	WBTC / cbBTC / hemiBTC	0.04%	0.39%	\$9.5M
	Threshold / Coinbase	tBTC / cbBTC	0.30%	38.74%	\$4.9M
	Coinbase / BitGo	cbBTC / WBTC	0.08%	0.75%	\$4.4M
	Bedrock	uniBTC / brBTC	0.00%	0.00%	\$1.4M
	ether.fi / BitGo	eBTC / WBTC	0.93%	28.95%	\$1.5M
	PumpBTC / BitGo	pumpBTC / WBTC	0.00%	0.00%	\$1.1M
	Lombard / BitGo	LBTC / WBTC	0.08%	0.82%	\$0.9M

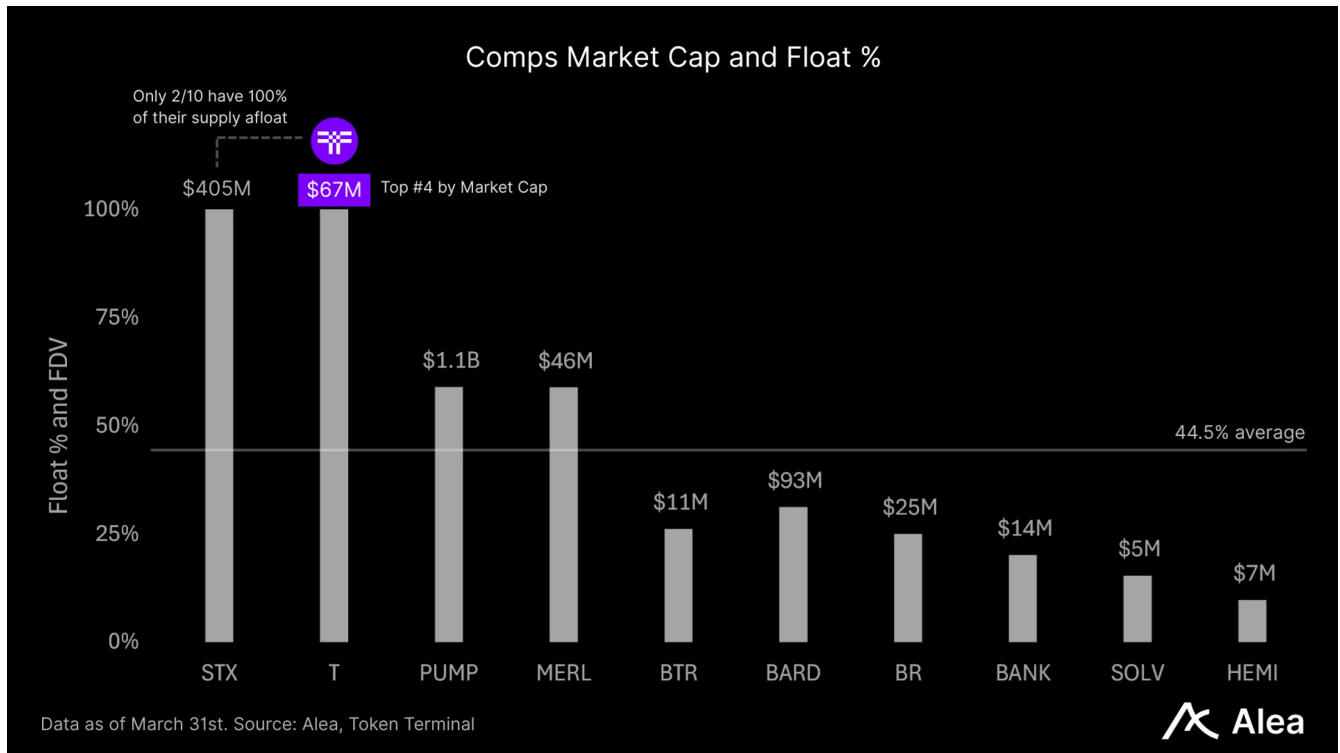
tBTC as the leading ticker in "x" metric (decentralized category only).

Data as of March 31st. Source: Alea, Curve



On Curve, the tBTC/cbBTC pair again leads turnover at ~39% on ~\$5M TVL, reflecting active turnover between decentralized and custodial wrappers. The WBTC/tBTC pool (\$10M TVL) is the second deepest BTC-only pair on the Curve, with a \$200K gap to being first (WBTC/uniBTC has 0.01% turnover vs tBTC's ~21%).

T is one of only two issuers in this comp set with 100% float, ranking fourth by market cap. That removes unlock risk, although it does not solve token capture. The market still needs proof that tBTC's liquidity lead converts into mint/burn fee revenue after the Apr. 15 mint-fee activation.



tBTC is not trying to beat WBTC and cbBTC on a raw scale today. It is trying to be the liquid, trust-minimized alternative that institutions can actually use. Q1 supports that claim on Aave, YieldBasis, and Curve.

Significant Updates

Q1 updates changed two variables: monetization and distribution. The most material update was TIP-109, [approved](#) on Feb. 26, 2026, which reactivated the 20 bps tBTC mint fee on Apr. 15, 2026. This shifts Threshold from redemption-only monetization to two-sided flow capture. Q2 revenue will depend on whether mint volume holds after the fee turns on.

The second material update was the Jan. 22, 2026 launch of redemption fee [waivers](#) for T stakers. This gives T staking direct bridge utility, although it also lowers effective fee capture when waived users redeem tBTC.

Threshold also launched the [Unified Bitcoin Router](#) on Mar. 3, 2026, consolidating minting, redeeming, bridging, swapping, and tracking into one app. This should reduce user friction, but the operating test is app-originated flow: mint volume, redemption volume, crosschain transfers, and swap volume.

Vault Launches

Threshold added three vault integrations in Q1: the [Noon tBTC Yield Vault](#) on Starknet on Jan. 8, the [Noon tBTC Yield Vault](#) on Ethereum L1 on Feb. 19, and the [Endur Starknet Staking Vault](#) on Feb. 26. Together, the vaults held roughly \$1.92M of TVL at quarter-end (less than 0.5% of Threshold's \$481M DeFi TVL), with a weighted target yield of about 2.0%.

[Noon tBTC Yield vault on Starknet \(01-08-2026\)](#): borrows stablecoins against tBTC at a conservative loan-to-value ratio, then deploys those stablecoins into Noon's yield bearing stablecoin (sUSN). sUSN is, in turn, deposited into lending markets to enter into leveraged looping strategies to amplify yield.

Threshold Network's Vaults				Performance Fees
 Noon tBTC Yield Vault	DEPOSIT ON  Ethereum	TVL \$1,002,971.73	TARGET APY 1.28%	15%
 Endur Starknet Staking Vault	DEPOSIT ON  StarkNet	TVL \$909,693.20	TARGET APY 2.56%	15%
 Noon tBTC Yield Vault	DEPOSIT ON  StarkNet	TVL \$8,926.78	TARGET APR 26.58%	10% (+1% mgmt)

Data as of Mar 31st.
Source: Alea, Threshold UI

 Alea

[Noon tBTC Yield vault on Ethereum L1 \(02-19-2026\)](#): using tBTC as BTC collateral for a USD-denominated yield strategy.

[Threshold validators integrated into Endur's liquid staking \(02-26-2026\)](#) : tBTC is staked with Starknet and the rewards in STRK are automatically converted to tBTC and re-staked.

All these are managed yield strategies that increase distribution, although they also come with partner, smart-contract, borrow-rate, liquidation, and stablecoin risks.

Roadmap

Threshold's roadmap optimizes for custody risk, distribution speed, and liquidity depth. tBTC's long-term position depends on being both safer than custodial wrappers and liquid enough for institutional DeFi use.

Expand Onchain tBTC Yield. The protocol will broaden the yield surface for tBTC holders by onboarding additional [yield vaults](#), integrating borrowing and [lending venues](#), and introducing market-neutral strategies. Together, these channels deliver a diversified, risk-adjusted yield profile suitable for both DeFi-native users and institutional allocators.

Enable Native Bitcoin Instant Swaps. Threshold will introduce native Bitcoin instant swap functionality, allowing users to move between BTC and other blue-chip crypto assets, including stablecoins, directly with high-fidelity price quotes. This capability strengthens the protocol's utility and removes a key friction point for seamlessly moving BTC in and out of other assets, following the recently released [Threshold Unified Router](#).

Tighten the Institutional Conversion Path. Through [Verifiable Bitcoin Accounts](#), the platform provides TradFi participants with a compliant and secure on-ramp to onchain BTC. From this foundation, institutional access scales into onchain BTC yield and options at meaningful volume, and the same infrastructure extends into BTC ETFs and the broader institutional product stack.

Threshold Network's Roadmap

Expand on-chain tBTC Yield

- Add new yield venues (lending, vaults, market-neutral)
- Diversify sources to improve consistency and scalability

Enable Native BTC Instant Swaps

- Enable seamless BTC ↔ crypto swaps with tight pricing
- Improve liquidity and onchain portfolio mobility

Tighten Institutional Conversion

- Provide compliant on-ramp via Verifiable Bitcoin Accounts
- Scale access into yield, derivatives, and ETF-linked flows

Data as of Mar 31st.

Source: Alea, Threshold Network's contributors



The goal is to make tBTC easier to mint, redeem, bridge, and deploy through wallets, vaults, and institutional platforms.

Conclusion

Threshold concluded Q1-26 with stable tBTC supply, deeper BTC-denominated DeFi deployment, and weaker realized monetization. tBTC supply ended flat QoQ at 5.9K, while DeFi TVL rose +19% QoQ to 7.0K BTC. USD optics were weaker because BTC fell -22% QoQ, but the operating picture was not purely price-driven: annualized fees fell -51% QoQ to \$712K, and BTC-denominated revenue fell -38% QoQ to roughly 10 BTC.

The quarter reflected Threshold's business model. The protocol earns on tBTC movement, not tBTC supply. Q1 turnover remained active at 2.9x annualized, with 2,099 tBTC minted and 2,101 tBTC burned over the trailing 90-day window. But monetization was redemption-only, and effective capture was reduced by the Jan. 22 redemption fee waiver for T stakers.

The key change is post-quarter. The Apr. 15 reactivation of the 20 bps mint fee shifts Threshold from exit-only monetization to two-sided flow capture. At Q1 turnover, the same flow base would imply roughly 34 BTC, or ~\$2.3M, of annualized revenue at quarter-end BTC price.

T ended Q1 at roughly \$67M market cap / FDV, down -30% QoQ, with ~100% float and no unlock overhang. T looked cheaper against DeFi TVL and tBTC supply, but more expensive against realized fees, with P/F rising to 95x. The market is not yet paying for liquidity depth as durable revenue.

tBTC's competitive position improved where it matters most for a decentralized wrapper: usable DeFi liquidity. It leads the decentralized wrapper set across most liquidity-depth metrics and has credible footprints on Aave, Curve, and YieldBasis. But centralized wrappers still dominate absolute scale.

Appendix

tBTC Supply: Total tBTC minted and outstanding, including both idle balances and tBTC deployed across DeFi protocols.

DeFi TVL: tBTC deployed in external protocols (e.g., Aave).

Fees: Protocol fees accrued, currently generated exclusively from the 0.2% tBTC redemption fee.

Revenue: Net protocol revenue after costs; currently equivalent to fees, as no operating costs are incurred.

Buybacks: Percentage of revenue allocated to buying T on the open market.

Incentives: 1.155B tokens were minted during the network's inflationary bootstrapping phase as incentives for stakers and node operators.

Treasury: Accrues value generated by the protocol, including T acquired via buybacks and BTC-denominated redemption fees.

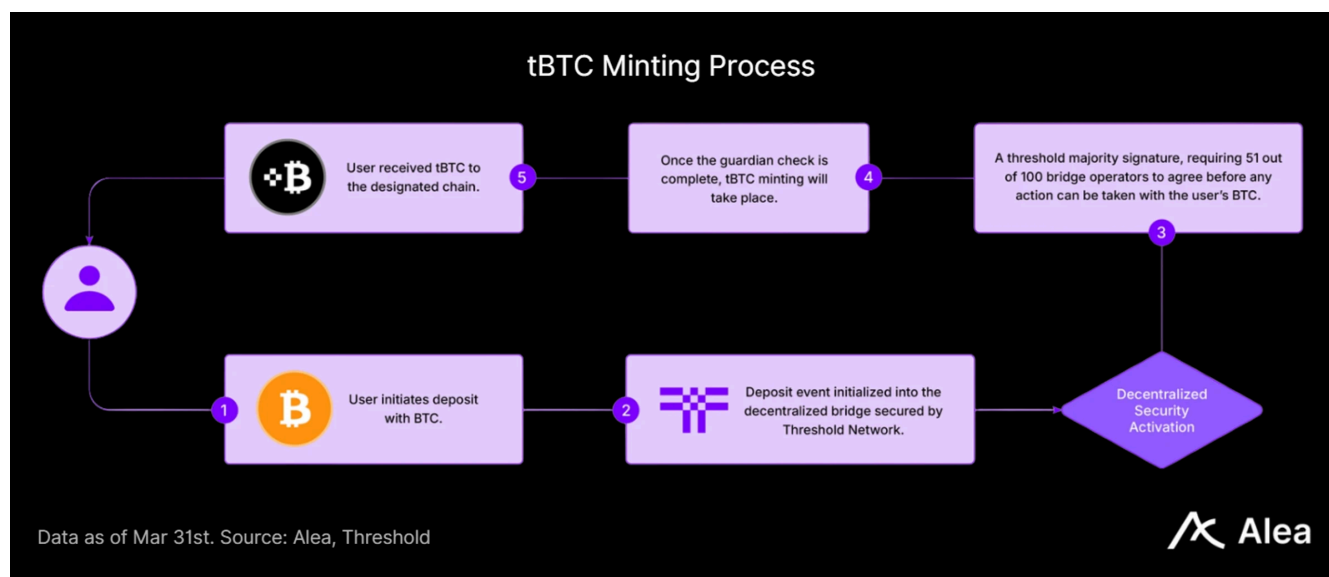
Correlation: Rolling 30-day directional relationship to BTC, calculated as the normalized covariance of returns.

Beta: Sensitivity relative to BTC, computed as the covariance of returns divided by market variance, providing insight into the asset's sensitivity to price movements.

tBTC

tBTC is a 1:1 BTC-backed receipt token. The growth strategy is to deepen liquidity on Ethereum mainnet (Aave/Curve) first, then expand to additional chains.

Minting locks BTC and issues tBTC; redemption burns tBTC and releases BTC. Threshold's app allows direct minting to supported chains, direct redemption back to Bitcoin mainnet, and "gasless" minting on supported networks.



51-of-100 Permissioned Signers Threshold: Minting and redemption require cooperation from a supermajority of signers, which rotate every two weeks.

Guardian System: A separate guardian layer can pause suspicious redemptions, adding defense-in-depth against compromised signers.

Threshold Signatures in Practice

1. Wallet action (mint/redeem) to sign specific Bitcoin tx inputs

2. Trigger for signer set

3. Signing round:

- a. 6-block readiness
- b. Up to 30-block propagation
- c. 5-block cooldown

4. Total: 41 blocks per attempt

- a. Up to 5 new attempts with new random 51-member subsets per attempt.

5. Signature aggregation; one ECDSA signature per input

- b. Worst case: 205 blocks (41 minutes with 12-second block-time) per input

6. Tx broadcast to Bitcoin

Note: Using Ethereum as the example for block numbers.
Data as of Mar 31st. Source: Alea, Threshold



tBTC is present on **18 chains**, including: Ethereum (primary, ~93% of TVL, predominantly in Aave to borrow against), Ethereum L2s (Arbitrum, Base, Optimism, Starknet), Non-EVMs (Sui, Solana), Bitcoin L2s (Mezo, BOB) and 9 others (minor supply). Major DeFi integrations include Aave V3 (borrowing enabled advantage among decentralized BTC wrappers), Curve (~\$135M liquidity) and various yield strategies across chains, such as Upshift's [1.6% APY](#).

During Q1-26, fees were sourced exclusively from the 0.2% redemption fee. Mint fees were reintroduced after quarter-end on Apr. 15, 2026. That creates a revenue profile that is volume-driven. If users mint/redeem more, fees rise—but supply may fall. **If users hold and deploy tBTC (low mint/redemptions), fees can be low even as adoption increases.**

T Token

T is Threshold Network's token; it is used in DAO voting, staked for lower fees, and is used for governance and staking-based fee rebates, with discretionary buybacks funded by protocol revenue.

Staking Rebates (Illustrative T Price)

Staked Amount (T)	Staked Value (USD)	30-day Fee-Free Bridge Volume	30-day Rebate Savings (BTC)	30-day Rebate Savings (USD)	Annualized Savings (USD)
100,000 T	\$1,000	0.5 BTC	0.001 BTC	\$100	\$1,217
1,000,000 T	\$10,000	5 BTC	0.01 BTC	\$1,000	\$12,167
10,000,000 T	\$100,000	50 BTC	0.1 BTC	\$10,000	\$121,667
100,000,000 T	\$1,000,000	500 BTC	1 BTC	\$100,000	\$1,216,667

Data as of Mar 31st.
Source: Alea, Threshold

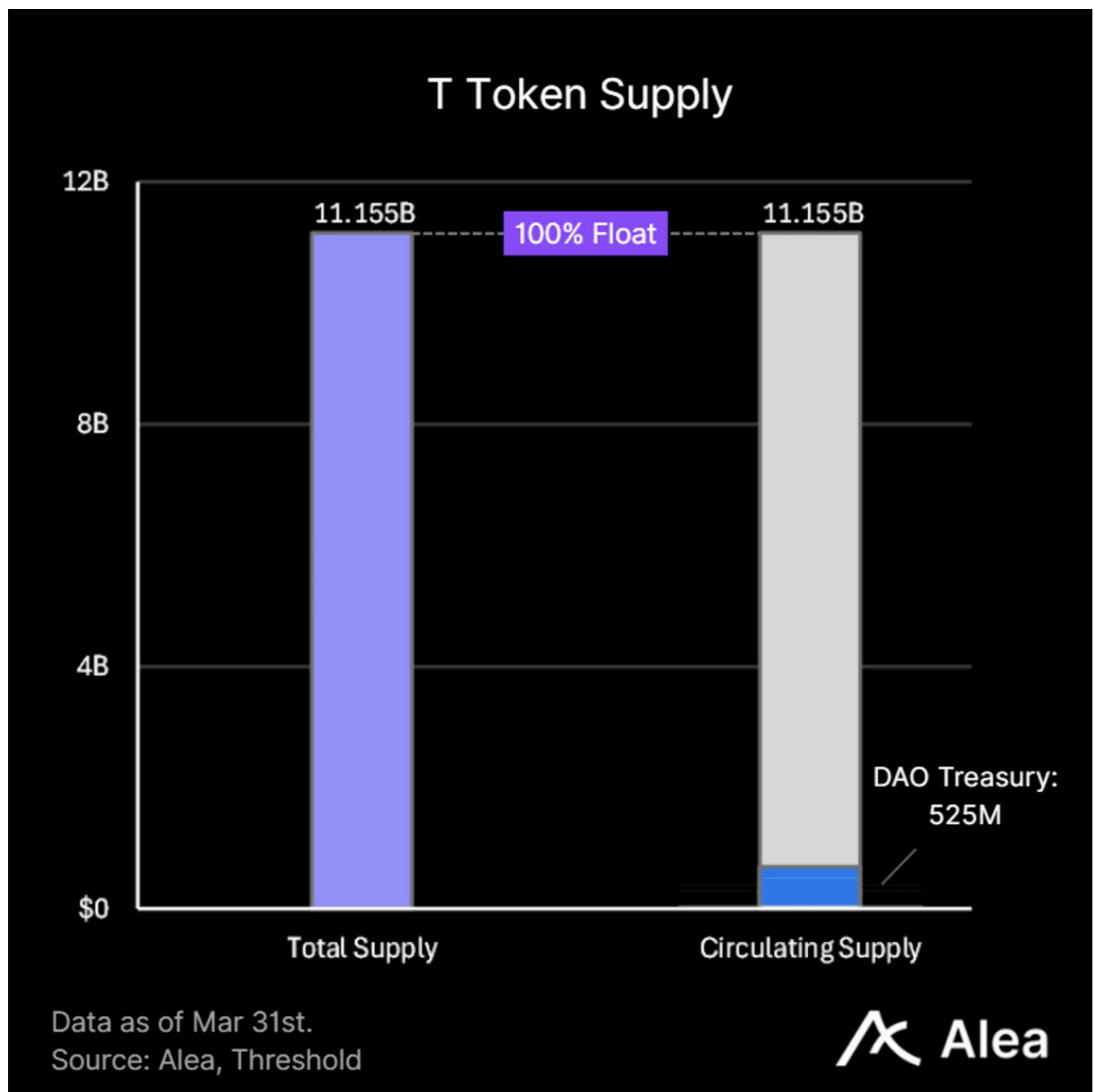


T's token generation event happened on January 1, 2022, via an onchain DAO-approved protocol [merger](#) between NuCypher (NU) and Keep Network (KEEP). Binance supported the event as a custodial migration.

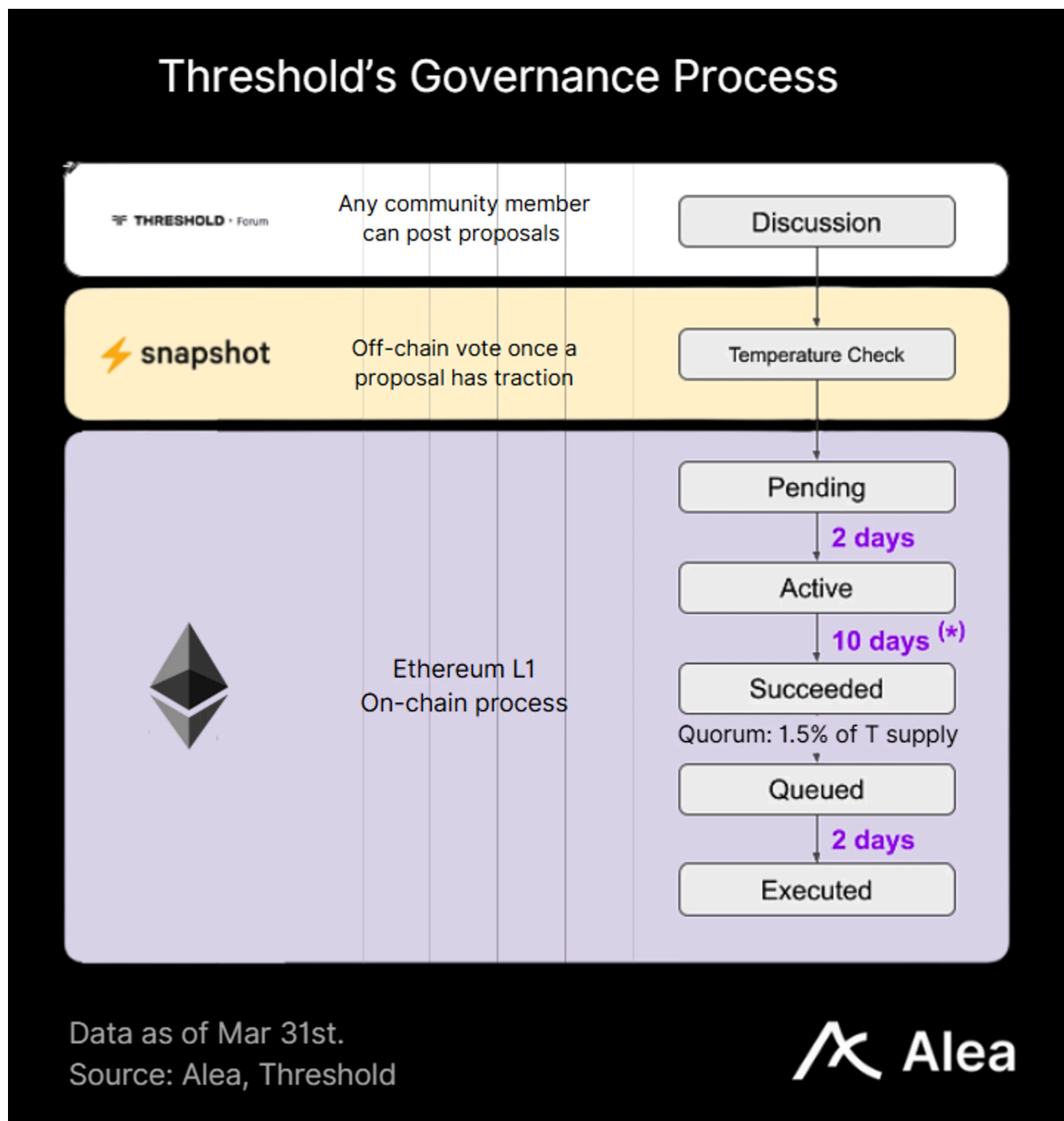
Max supply is 11.155B; 10B were minted at genesis. As of Mar. 31, float is ~100% (no unlocks). T tokens were distributed as follows across genesis and initial max total supply respectively:

- **NU token holders:** 45% (4.5B T)
- **KEEP token holders:** 45% (4.5B T)
- **Threshold DAO treasury:** 10% (1B T)

An additional 1.155B tokens were minted during the network's inflationary bootstrapping phase as incentives for stakers and node operators, resulting in a final total supply of 11,155,000,000 T tokens.



T holders have rights over the protocol's governance, which follows a staged process: ideas are discussed publicly, optionally validated via an offchain temperature check, then formally proposed and voted onchain when an onchain action is required, followed by a timelock and permissionless execution.



As defined by [TIP-103](#), the Threshold Committee serves as the final safety layer for decentralized governance. They hold the veto power to block malicious proposals that have passed a community vote but may threaten protocol security by reviewing and verifying all transactions according to strict security requirements.

The Committee has full ownership of Threshold's smart contracts (inheriting this role from the legacy Council). This includes the administrative authority to manage canonical token contracts and trigger "circuit breakers" (pausing minting and redemption) to protect the protocol.

References

Threshold [Website](#), [Docs](#)

[Token Terminal](#)

[DefiLlama](#)

Dune ([@threshold](#))

Alea ([Blueprint Report](#))

Disclosures

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